

Value Statement 1: Empowering Manufacturing Excellence through the "Connected Worker"

Issue: As part of its "Digital Lean" transformation, Hershey is outfitting frontline operators across its manufacturing facilities with mobile tools and generative AI to achieve zero loss and 100% employee ownership 1, 2. However, standardizing and deploying software securely to these remote, resource-constrained edge environments is complex 3. **Action:** Red Hat Enterprise Linux (RHEL) using "Image Mode" (Bootc) allows Hershey's IT team to build, manage, and deploy OS images as containers, creating immutable and highly secure appliances directly on the factory floor 3, 4. **Value:** This standardizes plant deployments and ensures the "Connected Worker" program runs with zero downtime, equipping operators with the real-time data and AI-guided workflows they need to boost manufacturing productivity, resolve issues autonomously, and consistently deliver "moments of goodness" to consumers 2, 3, 5, 6.

Value Statement 2: Accelerating the Advancing Agility & Automation (AAA)

Issue: Hershey's Advancing Agility & Automation (AAA) Initiative targets \$300 million in ongoing annual savings by 2026 through the simplification and automation of supply chain, SG&A, and IT processes 7-9. Currently, IT automation relies heavily on disjointed open-source tools and custom scripts, creating long feedback loops 3. **Action:** Red Hat Ansible Automation Platform (AAP), featuring Event-Driven Ansible (EDA), integrates natively with Hershey's Dynatrace observability and ServiceNow platforms. This enables the system to automatically trigger remediation playbooks and execute infrastructure deployments (like adding load balancers) without heavy custom backend development 3. **Value:** By drastically reducing manual IT overhead and mean-time-to-resolution, Red Hat unlocks the cost savings demanded by the AAA Initiative, fueling the "virtuous cycle" where productivity gains are directly reinvested into brand building and growth 3, 10.

Value Statement 3: Securing and Scaling the "Clean Core" SAP S/4HANA

Issue: Hershey recently completed a massive migration of 95% of its global business onto a single SAP S/4HANA instance to establish a "clean core" 11-13. To execute the integrated "ONE Hershey" commercial model effectively, this hybrid multi-cloud digital backbone must be highly resilient and available 14, 15. **Action:** Red Hat Enterprise Linux (RHEL) for SAP Solutions provides an industry-standard, highly available operating system foundation tailored specifically for SAP HANA workloads, featuring automated system roles and predictive analytics via Red Hat Insights 16-19. **Value:** This ensures mission-critical stability and zero-downtime operations for Hershey's global finance, supply chain, and commercial operations, safeguarding the technological foundation required to operate as ONE Hershey and pivot rapidly in response to consumer and commodity shifts 16, 19, 20.

Value Statement 4: Orchestrating Agentic AI and Application Modernization

Issue: Hershey is pioneering proactive "Agentic AI" systems like the "Agnes" IVR and a real-time AI marketing mix engine 21, 22. Simultaneously, they are modernizing 176 disparate legacy applications and dealing with an oversized, resource-heavy Kubernetes cluster footprint solely dedicated to MuleSoft 3, 23. **Action:** Red Hat OpenShift, combined with Advanced Cluster Management (ACM) and hosted control planes, provides a unified enterprise Kubernetes platform that consolidates Hershey's 12 clusters into a leaner footprint, while offering a scalable, "build once, deploy anywhere" foundation for both AI models and modernized apps 3, 4, 24. **Value:** This reduces the hardware and management overhead of Hershey's infrastructure

while accelerating the deployment of Next Generation Snacking innovations, ensuring Hershey's AI agents can scale securely across any cloud to drive operational efficiency and consumer "resonance" 3, 24, 25.

Value Statement 5: Database Consolidation and Technical Debt Reduction**Issue:** Hershey carries high infrastructure costs and technical debt, highlighted by the need to manage roughly 4,000 Microsoft SQL Server databases and the restriction of running Oracle databases on aging SPARC hardware to avoid exorbitant cluster-wide licensing fees 3.**Action:** Red Hat OpenShift enables a modern Database-as-a-Service (DBaaS) architecture using containers to strictly fence off compute resources, ensuring that Oracle and SQL workloads are isolated and optimized 3, 26.**Value:** This dramatically lowers total cost of ownership by bypassing full-cluster virtualization licensing costs and retiring legacy hardware, freeing up critical capital that Hershey can reallocate toward acquisitions, digital marketing, and its transformation into a Leading Snacking Powerhouse 3, 27.